

23. Business Continuity Policy

We play an important role in the communities we serve and for the clients who do business with us. In the event of a disaster, our goal is to restore services as quickly as possible.

We prepare appropriate plans for regaining full functionality as rapidly as practicable after the occurrence of any disabling event, whether caused by natural, technical or human factors (including acts of terrorism). The plan's primary focus is the deposit operations of the Bank with emphasis on other departments relative to each department's role in the Bank's operation.

The Bank's EVP/CFO is responsible for ensuring appropriate formation and testing of the Business Continuity Plan.

The bank's CEO, EVP/CFO or VP of Information Technology can declare a disaster and approve implementation of the Business Continuity Plan.

The plan is reviewed annually and updated when significant processes are added or changed.

The Plan includes:

Types of Disasters

We identify and evaluate the potential for the natural and man-made disasters which could result in the partial or complete interruption of services or availability of information to our clients.

Risk Assessment.

We assess the potential for impact on each aspect of the Bank's business, customers and employees on a periodic basis. It is our policy to identify critical products, services and operations and internal resources and capabilities and determine the impact caused by each type of disaster. Any disaster has the potential to interrupt the bank's business in different but nonetheless substantial ways. The Bank maintains a plan for communication, maintenance of operations, and communication with employees that is applicable to all types of disasters that could impact the bank's functions.

Allocation of Resources Prior to any Disaster.

The Bank authorizes resources to deploy necessary personnel, third party consultants, plans, training and education to minimize any and all business interruption caused by any disaster prior to the occurrence. All employees receive training on how to act in a disaster. Key employees are responsible implementing disaster preparations or post-disaster recovery operations. Current resources for maintaining communication with employees and clients are evaluated and substituted, if necessary, to accommodate the needs of the bank, its clients and employees in times of disaster to facilitate limited interruption.

Training and Policies and Procedures.

Training is conducted periodically to ensure bank personnel understand procedures and implementation of the Bank's disaster recovery plans. Simulated scenarios training may be used to prepare bank personnel.

Community Resources.

The CEO, or designee, will communicate with the media and the local community to implement any city, county or state disaster and preparedness plans in order to effectively supplement our own policy and procedures. The Bank's plan is coordinated with community plans so that our plan does not conflict with any local or state planning or recovery operations.

Post-Disaster Recovery.

The Bank disaster recovery plan is designated to regain full functionality as rapidly as practicable after the occurrence of any disabling event. In the case of a major disaster, as determined by the local, state or federal governments, the Bank will monitor community recovery progress so that the bank can comply with community recovery efforts. The Bank also maintains procedures in the event a major disaster causes Bank operations to be interrupted for periods of time exceeding one week, or permanent facility closure.

The primary focus of the Bank will be the location and safety of all personnel, then recovery of operations, with an emphasis on deposit operations of the Bank and an emphasis on other departments relative to each department's role in the Bank's operation.